WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

SRI LANKA

Asia

Information current as of October 2026

Dialogue | Trust | Partnership

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Colombo (Western Province)	Commercial capital and home to the Central Bank, Colombo Stock Exchange and most corporate headquarters	Financial services, IT and business services, retail, real estate
Port of Colombo	South Asia's leading transhipment hub, handling a record 8.29 million TEU in 2025, with throughput up a further 11.9% in H1 2026	Shipping, transhipment, logistics, marine services
Colombo Port City	A 269-hectare special economic zone on reclaimed land with its own regulator and single window; 77 Businesses of Strategic Importance were approved in April 2026	Financial and business services, regional headquarters, IT, tourism, real estate
Colombo West International Terminal	Deep-water terminal (20 metres) whose capacity doubled to 3.2 million TEU in September 2026 under a 35-year build-operate-transfer partnership	Port operations, logistics, ancillary services
Hambantota (south)	Southern port and site of Sinopec's planned $3.7 billion, 200,000-barrel refinery, the largest foreign investment agreement in Sri Lanka's history	Energy, refining, port logistics, industry
BOI export processing zones (Gampaha and beyond)	Zones near Colombo's international airport hosting much of the export manufacturing base, including the apparel industry	Apparel and textiles, light manufacturing, rubber products
Central highlands and coastal regions	Tea-growing heartland and the core of a tourism sector that recorded record arrivals in 2025	Tea and agriculture, tourism and hospitality, wellness

INVESTOR ENTRY ROUTES

- Board of Investment of Sri Lanka (BOI), the national investment promotion agency, provides project approvals, incentives and aftercare; it approved 146 projects worth $1.9 billion in 2025
- Colombo Port City Economic Commission, the single-window regulator for Port City, offering incentive packages for Businesses of Strategic Importance, seven-day registration and five-day work visas, strengthened by an amending Act in 2026
- Strategic Development Projects Act route for large projects, which may qualify for tailored tax and other concessions on Cabinet and parliamentary approval

- BOI export processing zones and industrial parks offering serviced land, customs facilitation and incentives for export-oriented manufacturing
- Treaty protection: Article 157 of the Constitution gives investment-protection agreements approved by Parliament the force of law
- Central Bank of Sri Lanka oversight of the foreign-exchange regime; the rupee is market-determined, and remaining balance-of-payments measures are being phased out under the IMF programme
- Public-private partnership and build-operate-transfer models with state bodies such as the Sri Lanka Ports Authority, as used for the Colombo West International Terminal

MARKET-ENTRY OBSERVATION

Sri Lanka in October 2026 is an economy that has completed its recovery from the 2022 crisis and is rebuilding investor confidence. GDP grew 5.0% in 2025 and 4.7% in the first half of 2026, led by industry (+7.3% in Q2). Foreign direct investment reached $1,057 million in 2025, up 72% year-on-year, with manufacturing and port development accounting for more than 70% of inflows; the Board of Investment is targeting $1.5 billion in 2026. Workers' remittances hit a record $8.1 billion in 2025, tourist arrivals surpassed their previous record, and the Port of Colombo handled record volumes. Reform progress under the $3 billion IMF Extended Fund Facility, with about $2.4 billion disbursed after the combined fifth and sixth reviews in May 2026, helped Fitch upgrade Sri Lanka to 'B-' (stable) in September 2026, its highest Fitch rating since 2020.

Sri Lanka's main structural challenge is its reliance on imported energy and on Gulf-linked earnings, which the 2026 Middle East conflict tested. Higher fuel costs led to temporary fuel rationing from March and lifted inflation to 8.0% in September, and the Central Bank responded early with a 100-basis-point rise in the policy rate to 8.75% in May while keeping medium-term expectations anchored. Buffers have held: gross official reserves stood at $6.85 billion at end-September 2026, cost-reflective fuel and electricity pricing has been restored, and public debt is falling. Recovery from Cyclone Ditwah, which caused an estimated $4.1 billion of damage in late 2025, is being funded within the IMF framework. Each pressure point is also an opening for investors, in renewable power, refining and storage at Hambantota, climate-resilient infrastructure and higher-value tourism.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Imported energy and Middle East exposure	Higher oil prices in 2026 brought temporary fuel rationing, slower Q2 growth (4.2%) and inflation of 8.0% in September	Timely monetary tightening and cost-reflective pricing contain the shock; renewable energy and the planned Hambantota refinery offer long-term diversification and investment opportunities
Public debt and IMF programme commitments	Debt restructuring is nearly complete, and government debt is forecast by Fitch to fall from 96.7% of GDP in 2025 to 92.9% in 2026	The IMF programme anchors fiscal discipline, and the September 2026 Fitch upgrade to 'B-' signals improving creditworthiness and better access to finance
Policy consistency and approval times	Investors have historically cited project reversals and slow decision-making, as noted in the US State Department's 2025 Investment Climate Statement	Use the BOI and the Port City single window, secure written incentive agreements, and take local legal advice early
Currency movements and remaining FX measures	The rupee moved from 292.6 to 310.0 per dollar during 2025, and some balance-of-payments measures remain in place	Apply standard hedging; the IMF-backed phase-out of FX measures and rising reserves should steadily improve convertibility and predictability
Climate and natural-hazard events	Cyclone Ditwah caused an estimated $4.1 billion of damage in late 2025	Build resilience into site selection and insurance; reconstruction creates opportunities in infrastructure, construction and climate-adaptation services
Concentration of foreign-exchange earnings	Remittances and tourism, both sensitive to Gulf and global conditions, are major	Growth in port services, manufacturing FDI and IT exports is broadening the earnings

Issue	Potential Impact	Possible Mitigation
	sources of foreign exchange	base, with openings for investors in each
Renewal of trade preferences	EU GSP+ access, important for apparel, requires reapplication under the EU's next scheme	Industry and government are preparing the compliance case; investors can strengthen eligibility through labour, environmental and traceability standards

INVESTOR RISK NOTE

Sri Lanka's risk profile reflects an economy that has moved from crisis to stabilisation and is now building credibility. A record $8.1 billion in remittances, record port throughput, 72% FDI growth in 2025 and a Fitch upgrade to 'B-' in September 2026 show how far fundamentals have improved under the IMF programme. The 2026 energy shock from the Middle East conflict and the aftermath of Cyclone Ditwah have tested the recovery, but the authorities responded promptly with monetary tightening, cost-reflective energy pricing and IMF-supported reconstruction spending, and reserves have held at close to $7 billion. Public debt is still high by peer standards, though on a declining path. Investors should plan for higher single-digit inflation into early 2027, a market-determined rupee and an approvals process that rewards early engagement with the BOI or the Port City Commission. Those in export, port and services sectors can build on Sri Lanka's location on the main East–West shipping lane and its improving macroeconomic anchor.

MARKET ACCESS

Sri Lanka sits a few nautical miles from the main East–West shipping lane across the Indian Ocean, which makes Colombo the natural transhipment hub for the Indian subcontinent. It has been a WTO member since 1995 and holds bilateral free trade agreements with India, Pakistan, Singapore and Thailand. It is also a member of the South Asian Free Trade Area (SAFTA), the Asia-Pacific Trade Agreement and the Bay of Bengal Initiative (BIMSTEC). Exporters benefit from the EU's GSP+ preferences, which are particularly important for apparel. Merchandise exports reached $13.6 billion in 2025, up 6.3%, with the United States, India and the United Kingdom the leading markets, while China, India and the UAE are the main import sources. Port expansion at Colombo and Hambantota and the Port City zone strengthen Sri Lanka's role as a regional logistics, services and headquarters location.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Presidential Secretariat (President Anura Kumara Dissanayake)	Sets national economic policy; the President also holds the finance portfolio and leads the IMF-backed reform programme	Primary reference point for strategic direction and major project approvals
Board of Investment of Sri Lanka (BOI)	National investment promotion agency managing approvals, incentives and the export processing zones	Standard first point of contact for market entry and incentive negotiation
Colombo Port City Economic Commission	Regulator and single-window facilitator for the Port City special economic zone	Preferred route for financial-services, headquarters and Port City real estate investment
Central Bank of Sri Lanka	Monetary authority targeting 5% inflation; manages reserves and the foreign-exchange regime	Relevant for currency, repatriation and banking-sector matters
Ministry of Finance, Planning and Economic Development	Leads fiscal policy, debt restructuring and IMF programme delivery	Key counterpart on tax incentives, PPPs and Strategic Development Projects
Sri Lanka Ports Authority	State owner and operator of the main ports and partner in terminal concessions	Essential counterpart for port, logistics and maritime investment
Export Development Board	State body promoting exports and market access, including preference schemes	Useful partner for export-oriented manufacturers and services firms

CURRENT INTERNATIONAL BUSINESS CHANNELS

The Ceylon Chamber of Commerce, the American Chamber of Commerce in Sri Lanka and the Joint Apparel Association Forum are the leading business networks, alongside bilateral chambers serving investors from the main source countries, Singapore, India and Europe. The BOI and the Colombo Port City Economic Commission hold regular investor briefings and sector roadshows. The World Bank, the International Finance Corporation and the Asian Development Bank maintain active programmes in energy, infrastructure, financial-sector and private-sector development, and IMF programme documents provide a transparent view of the reform agenda. Established conglomerates listed on the Colombo Stock Exchange are frequent joint-venture partners and a valuable source of local market intelligence.

INVESTOR PROFILE BEST SUITED

Sri Lanka suits investors seeking an early position in a recovering, reform-anchored economy with a strategic maritime location: port, logistics and maritime-services investors building on Colombo's record throughput and new terminal capacity; manufacturers, particularly in apparel, rubber and light industry, using BOI zones and preferential access to Western markets; financial-services, IT and regional-headquarters investors drawn to Colombo Port City; energy investors in renewables, refining and storage; and tourism and hospitality investors targeting higher-value segments. Investors comfortable with a 'B-' rated sovereign and a market-determined currency, and who engage early with the approval authorities, are best placed to benefit.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage the BOI or the Port City Commission early
Open dialogue with the relevant single-window authority to confirm eligibility, incentives and approval timelines before committing capital.

STEP 2: Secure incentives and protections in writing
Formalise tax, customs and land terms in a BOI agreement, a Business of Strategic Importance designation or a Strategic Development Project approval, supported by local legal counsel.

STEP 3: Build energy-price and currency scenarios into planning
Model fuel-cost and rupee sensitivities, drawing on the 2026 experience, and apply standard hedging for local-currency exposure.

STEP 4: Track IMF programme milestones and rating developments
Follow IMF reviews, debt-restructuring completion and rating actions, which are steadily improving financing conditions and investor sentiment.

STEP 5: Position for port, energy and reconstruction opportunities
Assess opportunities linked to Colombo and Hambantota port expansion, renewable energy and post-cyclone, climate-resilient infrastructure.